

Research Briefing | Eurozone

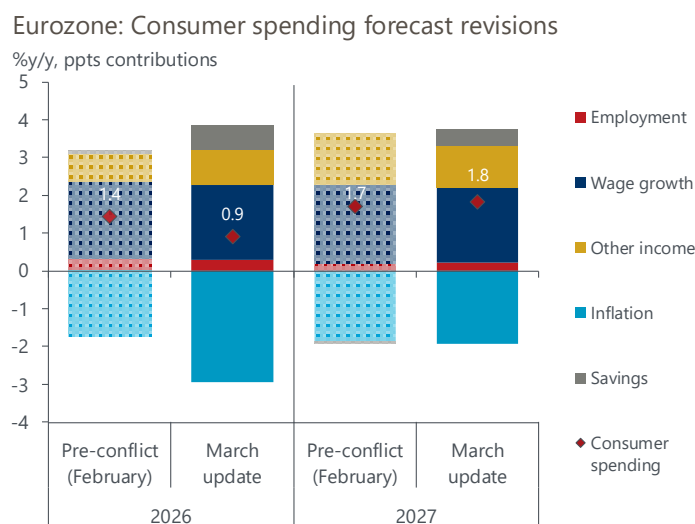
Energy shock to consumer spending might linger

- The Iran conflict's economic fallout shouldn't curb Eurozone consumer spending much, but what impact there is could linger. We've cut our spending forecast by 0.5ppts to 0.9% growth in 2026. Aside from the hit to purchasing power from higher energy prices, consumption will likely also suffer from weaker household sentiment, higher precautionary savings, and higher interest rates. A quick end of the conflict might mitigate but won't fully offset the negative impact.
- The most direct impact, though, will come from higher inflation. We expect the headline measure to average 2.9% this year, up 1.2ppts from our pre-war baseline, reducing real earnings. The energy price rise will be the main event, but it will feed through into the prices of other goods as well. Fiscal policy, mainly in the form of fuel subsidies and price ceilings, will only slightly offset the negative news for consumers.
- Consumer confidence is very sensitive to the price of frequent out-of-pocket purchases like fuel. The price shock will curb households' appetite to spend, especially on discretionary durables and services. We think this is symptomatic of the frequent adverse supply shock environment the global economy has entered. Against this backdrop, savings rates are likely to stay high.
- Energy shocks affect consumers unevenly, with lower-income households worse off, in turn hitting the consumption of goods. Higher fuel costs will also impact transport services.
- We expect a largely uniform impact on consumer spending across the main European markets, but Mediterranean economies may benefit slightly from redirected tourism flow from the Gulf.

A new adverse shock seems to hit Eurozone consumers every time a recovery appears imminent. This time is no different. After private consumption growth of 1.5% in 2025, including a 0.4% q/q expansion in Q4, and with consumer confidence steadily rising, the ripples from the [Iran war-induced energy shock](#) loom.

We think the damage to consumer spending will be small in magnitude but could be relatively long-lasting. We now expect consumer spending to grow 0.9% this year, down from our view of 1.4% before the conflict (**Chart 1**). Overall, consumer spending should contribute 0.5ppts or 60% of this year's 0.8% Eurozone GDP growth, with a pick-up in pace in Q4. A prolonged conflict could amplify the hit. Conversely, a swift end to the fighting might stem the damage but won't undo it – the energy shock is already feeding through.

Chart 1: Higher inflation and real incomes hit will weaken consumer spending this year



Sources: Oxford Economics, Haver Analytics

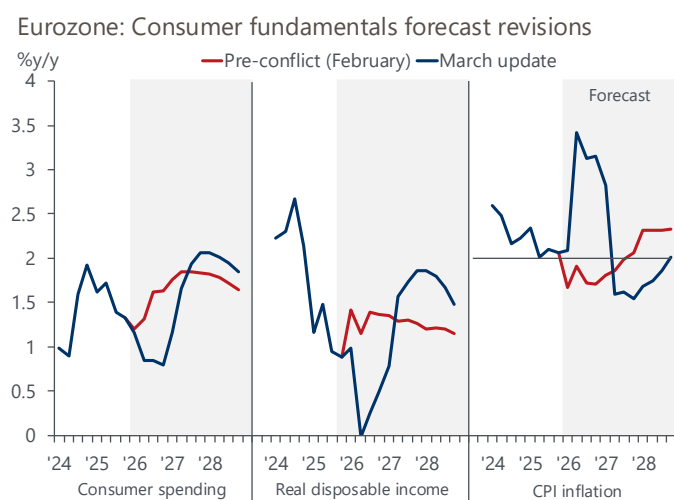
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First comes the direct hit to purchasing power...

The most immediate direct hit to consumer spending will come from higher inflation crimping households' purchasing power. We now expect inflation to average 2.9% this year, up 1.2ppts from our pre-war view. This is mostly due to the first-round impact of oil and gas commodity prices on consumer energy prices, from petrol to electricity (**Chart 2**). However, limited second-round effects (e.g., higher costs of transport, fertilisers, and packaging) will seep into prices of food, other goods, and services, too.

As a result, we estimate a 0.3ppts drag on real disposable income, which we expect to only grow by 1% this year. Burned by the mistakes of the 2022-2023 energy crisis, we expect the Eurozone governments [to be quicker in deploying fiscal support](#) to cushion some of the energy price-related blow. But given the strained public finances in most Eurozone countries, coupled with authorities being worried about creating perverse incentives around energy use, this won't fully offset the impact.

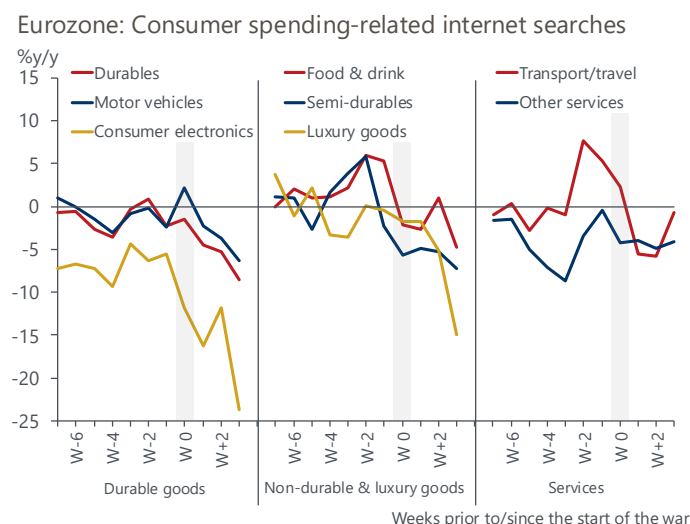
Chart 2: We expect mild hits to consumer spending and incomes amid higher inflation



Sources: Oxford Economics, Haver Analytics

We won't get the first bit of hard data showing the impact of the war on consumer spending – retail sales for March – until early May. However, high-frequency alternative indicators give us a glimpse into the situation in near-real time. Internet searches tend to correlate quite well with actual spending, though they are also volatile and might overstate the movements. The data show signs of an immediate dip following the outbreak of the war, particularly in durable goods (**Chart 3**). The impact in services seems more benign, though searches for rebooking and cancellations are biasing this upwards.

Chart 3: Internet search data point to an immediate, durables-driven decline in spending



Sources: Oxford Economics, Google Trends

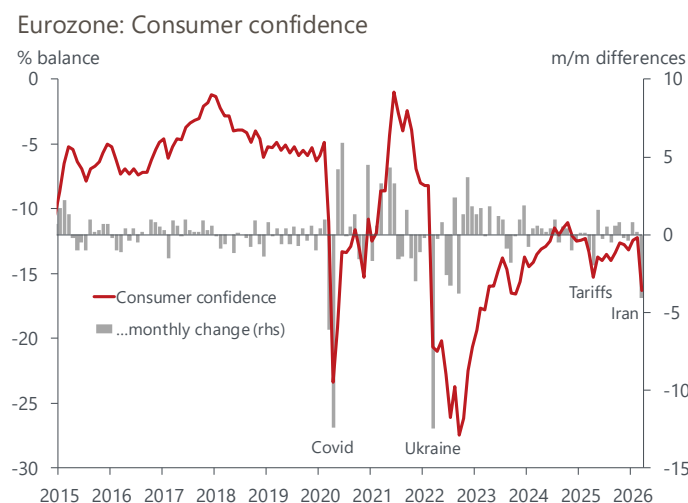
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...then, the higher uncertainty

But higher prices reducing earnings in real terms isn't the only channel of transmission. Although our baseline expects commodity prices – and with them domestic inflation – to gradually normalise, we think the impact on consumer confidence and willingness to spend might linger. Three years ago, [we argued](#) that the global economy had entered an era of [more frequent adverse supply shocks](#). Since then, that assessment has been proven correct – the war in Iran is just the latest piece of evidence.

Unsurprisingly, consumer confidence – the first bit of official data since the start of the war – declined significantly in March, though the drop is much less severe than in the early months of the pandemic or Russia's invasion of Ukraine (**Chart 4**). We also note that consumer confidence and actual spending [have disconnected in recent years](#).

Chart 4: Consumer confidence declined in March

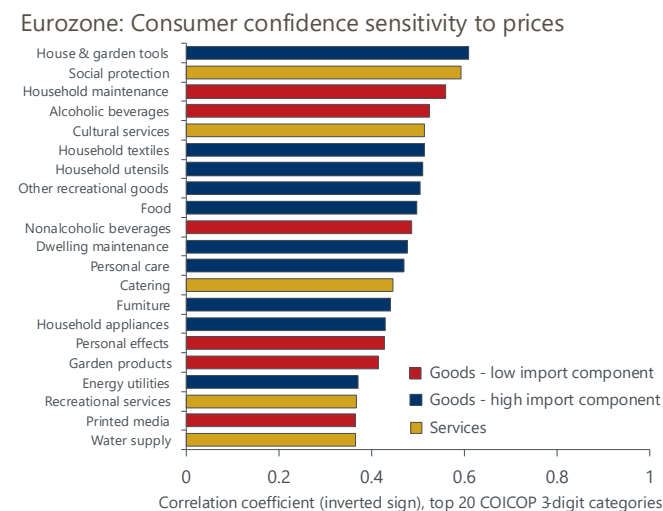


Sources: Oxford Economics, Haver Analytics

In such an environment, we expect consumers to generally feel more cautious and reluctant to spend, even after the direct economic impacts of any given shock subside. We think that the plateauing of consumer confidence at a lower level than before the pandemic corroborates that.

Consumers also tend to be [much more sensitive to prices](#) of frequent out-of-pocket purchases: items like groceries, fuel, transport services, and household goods (**Chart 5**). These items are also the [channel for global supply shocks to transmit](#) to domestic prices and are likely to keep consumer confidence subdued.

Chart 5: Consumer confidence is more sensitive to frequent out-of-pocket purchases



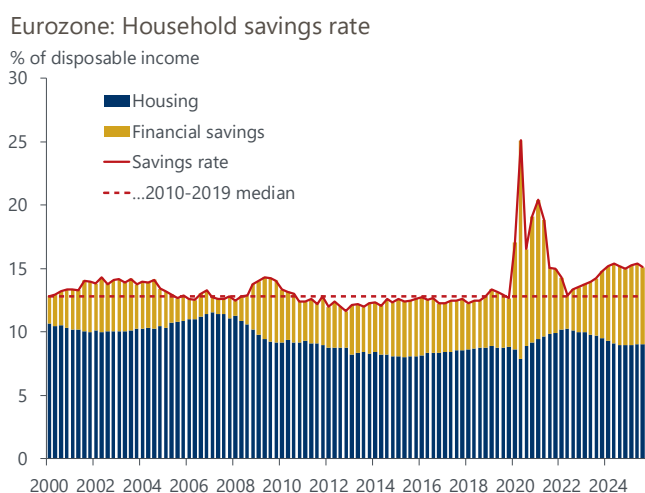
Source: Oxford Economics, Haver Analytics

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In the near term, households might dip into their savings to cushion the real income hit. But from 2027 onwards, we think households will display more appetite to build up precautionary savings, despite the labour market staying resilient – the unemployment rate fell to a historical low of 6.1% in January and the employment rate remained at its all-time high of 70.8%. We don't expect the Iran conflict to damage the labour market. But the fear of potentially losing work, combined with the wider downbeat sentiment about the economy, is likely to prompt households to cut back on, or at least delay, discretionary spending.

The household savings rate (the proportion of disposable income households on aggregate spend rather than save every quarter) is still elevated in the Eurozone at 15.1%, compared with the pre-Covid average of 12.5% (**Chart 6**). Although seemingly small, this amounts to around €250bn saved rather than spent every quarter, with most of the overhang going into savings accounts rather than housing. We expect the savings rate to very gradually decline over the coming years, but the more uncertain global environment could [lead to it levelling off](#) some way above the pre-Covid average, permanently weighing on spending. We'll explore this topic in detail in upcoming research.

Chart 6: Aggregate households' savings rate remains elevated due to financial savings



Sources: Oxford Economics, Haver Analytics

There'll be an impact via financial markets, too

Aside from lower purchasing power and confidence, consumers will also be affected through financial markets, although our baseline assumption of a fairly short conflict – perhaps of around two months – currently means this is a minor factor. We now expect the ECB to [hike the policy rate twice](#) by the total of 50bp in 2026, as it will seek not to repeat the mistake of 2022-2023 when it responded too slowly to the energy shock.

But even prior to any rate hikes, financial conditions have tightened as yields and spreads have risen, with markets regarding Europe as particularly vulnerable to the energy shock. This will feed into higher mortgage and other lending rates, another headwind for consumption. This tightening coupled with the rate hikes will transmit to households via higher mortgage and consumer loan rates, though we think the impact on aggregate consumer spending should be small.

Stock markets have been very volatile in response to the conflict, with European stocks down 5.5% to date. This might lower spending by higher-income households through negative wealth effects, although these tend to be more muted in Europe compared with the US. Moreover, the euro has depreciated slightly against the dollar, which could have a small negative impact on the consumption of imported goods.

Energy shocks hit consumers unevenly

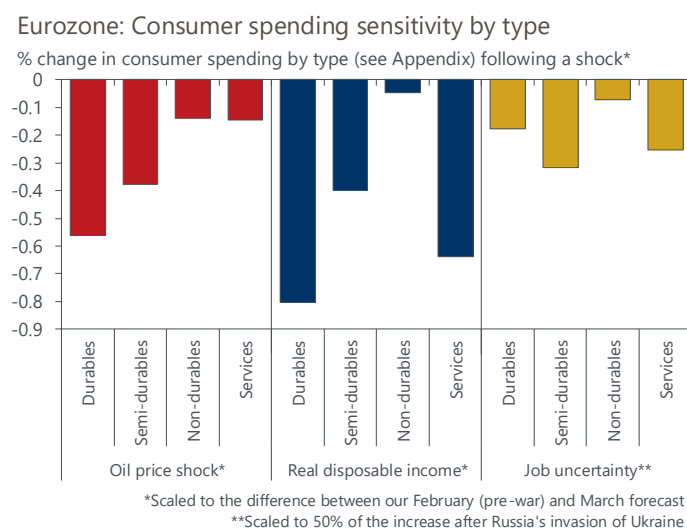
A key fact to keep in mind is that global energy shocks like these don't affect all spending categories equally, pricing-wise. On average, goods tend to be more affected than services, and more quickly, as energy inputs account for a larger share of their final prices. The obvious exception is transport services, where higher fuel costs are passed through relatively readily, particularly into air fares. Given our

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assumption that the conflict will last around two months (although we have no crystal ball), our baseline assumes only modest supply chain disruptions – however, this is a [clear downside](#) risk in the event of a more prolonged war. In such a scenario, a supply squeeze would extend the price hike to imported consumer goods such as electronics, clothing, and household goods.

This divergence extends to the sensitivity of demand by spending category, too. We estimate that demand for durable goods – cars, furniture or electronics – is very sensitive to falls in real income and in particular to oil price shocks. On the other hand, consumers tend to cut back on services consumption relatively more in response to job uncertainty (**Chart 7**).

Chart 7: Durable goods are more sensitive to purchasing power, services to uncertainty

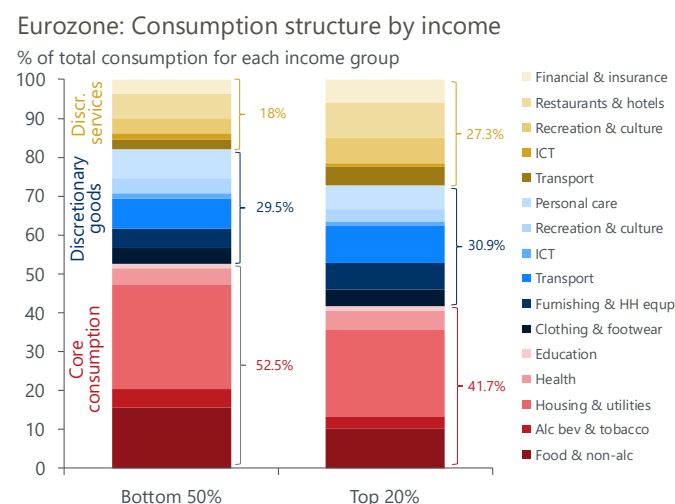


Sources: Oxford Economics, Haver Analytics

Similarly, the impact will be uneven across income groups and demand. Staples like fuel and groceries, which form a larger share of lower-income households' consumption baskets (**Chart 8**), tend to be more affected by energy price shocks and are also less price elastic. [Recent academic research](#) supports the view that oil price shocks, in particular, hit lower incomes hardest.

We expect the negative spending impact in volume terms to be concentrated in discretionary services like transport and tourism, where the precautionary savings motive leads to larger cutbacks. In staples like food and fuel, the impact on volumes might be mitigated by trading down, while the higher prices will partly offset the impact on topline consumption growth will be partly offset by higher prices.

Chart 8: Staples prices will hit lower-income consumers; high earners will feel the pinch from services



Sources: Oxford Economics, Eurostat

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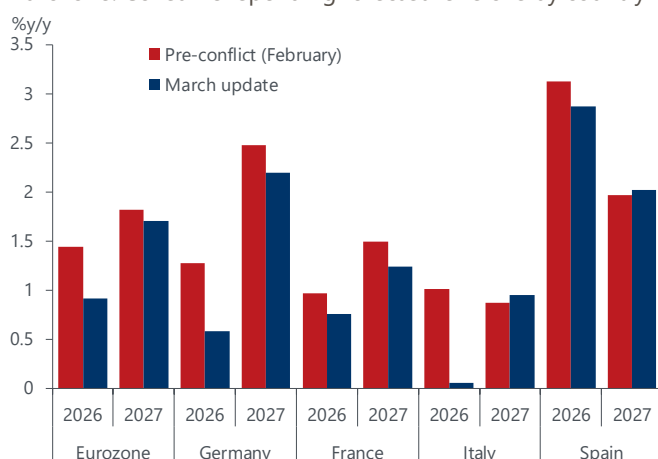
Broadly uniform impact across large Eurozone markets

In terms of the cross-country impact, we expect the fallout from the Middle East conflict to be relatively uniform. The relatively large downward revision to Italian consumer spending growth in 2026 stems partly from softer-than-expected momentum at the end of 2025 rather than the impact of the war. Similarly, in Germany, part of the relatively large downgrade to private consumption stems from revisions to historical data.

Spain stands out as relatively insulated to the shock thanks to the nature of its energy market, which is less affected by global natural gas prices, thanks to the so-called Iberian exception (a different wholesale electricity market pricing system). As such, the energy price shock to consumers should be mitigated on the electricity side, although it'll still feed through to higher fuel and transport prices. This resilience, coupled with the benefits that Spain will likely reap from tourists opting for Southern Europe over the Middle East, bolsters our view that Spain will continue outperforming the other Big 4 economies this year.

Chart 9: The drag on consumer spending is broadly similar across large European markets

Eurozone: Consumer spending forecast revisions by country



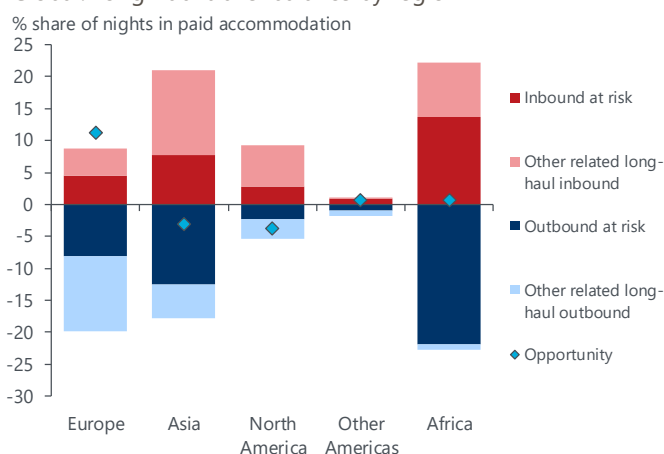
Sources: Oxford Economics, Haver Analytics

Tourism is the silver lining

The redirected tourism flows could offset some of the damage to Eurozone consumer spending. This is largely an opportunity for Mediterranean countries – Spain, Greece, Italy and Portugal – to retain European travellers who won't be travelling to the Gulf or via Gulf hubs, as they offer similar experiences. Other economies will be negatively affected by the shortage of inbound tourists travelling from or via Middle East.

Chart 10: Southern Eurozone economies will benefit from redirected tourism flows

Global: Long-haul travel balance by region



Sources: Oxford Economics

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Our [Tourism Economics team estimates](#) that this substitution opportunity amounts to around 10% of tourism volumes in terms of nights stayed (including domestic), if longer-haul tourists travelling from or transiting via the Middle East stay away and tourists planning travel to or via the Middle East choose to vacation in Europe (**Chart 10**).

Tourism spending for individual countries is usually counted as exports rather than consumer spending; however, as these will be European travellers, it will fall under consumer spending in the Eurozone aggregate.

Table 1: Breakdown of consumer spending by type

Category	Includes	Share (2025)
Durable goods	Furniture & furnishings Major household appliances Cars & other vehicles Electronics Computers Cameras Recreational goods Jewellery & watches	9%
Semi-durable goods	Clothing & footwear Homeware & tableware Tools & equipment Recording media Toys & games Sports equipment Books	8%
Non-durables goods	Food & beverages Household goods Medical products Garden & pet products Newspaper & stationery Personal care Transport fuel Energy & utilities	27%
Services	Rent Household maintenance Waste collection Repair services Medical services Transport services Telephone & internet Recreation & sport Cultural services Package holidays Education Restaurants & eating out Hotels & accommodation Financial & insurance	56%

Source: Oxford Economics

Box 1: Technical Appendix

To estimate the sensitivity of individual consumer spending categories to shocks, we estimate a vector autoregressive (VAR) model. The setup of the model is based on the consumption function literature – it features the standard drivers of consumer spending. The drivers are real disposable income (which comprises all labour earnings and other income such as dividends or transfers from the government minus taxes), real housing and non-housing wealth, real interest rate (lending rate on consumer credit), credit conditions from the Bank Lending Survey and unemployment expectations from the Business and Consumer Survey as a proxy for job uncertainty.

The domestic block is complemented by real effective exchange rate, global oil price (Brent spot) and global GDP (excluding the Eurozone). Global GDP is a proxy for global demand, allowing us to differentiate between oil price shocks due to higher demand and those due to lower supply, such as the current one.

The shocks to the oil price and real disposable income are scaled to match our revisions between the pre-war forecast (February 1st release) and the latest forecast (March 2nd release). The shock to job uncertainty is calibrated as 50% of the spike following Russia's invasion of Ukraine in February 2022.

All real variables are deflated with the private consumption deflator. The model is estimated on quarterly data for the Eurozone from 1995 Q1 to 2025 Q4 with a dummy variable for the pandemic between 2020 Q1 and 2021 Q4.